

AN EXPERIMENT WITH MARKET TIMING

All this, however, gets me years ahead of my story, because back in the 1930's there were other things I also had to learn through trial and error as my investment philosophy was gradually taking shape. In my casting around for ways to make money through common stocks, I began realizing that I might have a worthwhile by-product from my study of the Food Machinery Corporation. Enough of their business was dependent on the fruit and vegetable canning industry so that in order to be reasonably sure I was right about my Food Machinery purchases, I had inadvertently learned a good deal about what influenced the fortunes of the fruit and vegetable canning companies themselves. This industry was highly cyclical because of both fluctuating general business conditions and erratic weather influences as they affected specific crops.

As long as I was becoming somewhat familiar with the characteristics of the packing industry anyway, I decided I might as well try and take advantage of this knowledge, not through long-term investments, as I was doing with Food Machinery, but through in and out transactions in the shares of the California Packing Corporation, then an independent company and the largest fruit and vegetable canner. Three different times, from the depths of the Big Depression to the end of that decade, I bought shares of this company. Each time, I sold them at a profit.

Editor: perhaps substitute "Great"?

Superficially, this might sound like I was doing something quite worthwhile. Nevertheless when, for reasons I will explain shortly, I endeavored a few years later to analyze the wise and unwise moves I made in my business, it became increasingly apparent to me how silly these activities were. They took a great deal of time and effort that could well have been devoted to other things. Yet the total rewards in dollars in relation to the sums at risk were insignificant in comparison to the profits I had made for my people in Food Machinery and in other situations where I had bought for long-range gains and held over a considerable period of years. Furthermore, I had seen enough of in and out trading, including some done